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DOCUMENT 8 OF 14: THIS IS A CHOICE, NOT A NECESSITY — THE TAXPAYER COST REPORT

THE ALBERTA DISABILITY SYSTEM BREAKDOWN April 2026 Report Series

DOCUMENT 8 OF 12 This Is A Choice, Not A Necessity *The Taxpayer Cost of Cutting Disability Income and the Heritage Fund They’re Not Using to Prevent It*

All figures sourced from Government of Alberta official publications and verified independent sources. Free to share.

THE ARGUMENT IN ONE PARAGRAPH: The Government of Alberta posted four consecutive budget surpluses between 2021 and 2025 — including an \$8.3 billion surplus in 2024-25. In the same period, it deposited \$2.8 billion into the Heritage Fund, cut AISH by \$49 million, cut homelessness funding, and took back approximately \$190 million per year in federal disability benefits from its most vulnerable residents. Alberta is not a province that cannot afford to support its disabled residents. It is a province that has chosen not to — while growing a savings account.

SECTION 1: THE NUMBERS SIDE BY SIDE

The Government of Alberta frames the AISH-to-ADAP transition and the accompanying benefit reductions as fiscal necessity. The following comparison presents the government's own published figures — from Treasury Board and Finance quarterly reports and Budget 2025 — and allows them to speak for themselves.

Item	Amount / Figure
Alberta Heritage Fund fair value (December 31, 2025)	\$31.9 billion
Heritage Fund growth — Q3 2025-26 alone (one quarter)	\$383 million
Heritage Fund fiscal year-to-date return (to Dec 31, 2025)	7.7%
Heritage Fund 5-year annualized return (to March 31, 2025)	9.6%
Government deposit to Heritage Fund from 2024-25 surplus	\$2.8 billion
Government's plan for Heritage Fund by 2050	\$250 billion
AISH annual program budget (2025-26)	\$1.641 billion
AISH budget cut (2025-26 vs prior year)	\$49 million decrease
Projected further AISH cuts (2026-27 and 2027-28)	\$22 million + \$6 million additional
CDB clawback — annual total extracted from recipients	~\$190 million/year
Homelessness funding cut (2025-26)	\$4 million decrease
Income tax cut (8% bracket) — forgone annual revenue	\$1.2 billion/year

Sources: Alberta.ca — Heritage Fund Q3 2025-26 Report; Budget 2025; Rocky Mountain News, February 2025; FACTSMTR Budget 2026 analysis

THE COMPARISON THAT MATTERS: Heritage Fund growth in ONE QUARTER (Q3 2025-26): \$383 million. Total AISH budget cut over three years: \$77 million. The Heritage Fund grew five times more than the total AISH cut in a single three-month period. This is a political choice. It is not a fiscal necessity.

SECTION 1.5: FOUR CONSECUTIVE SURPLUSES — THE PATTERN OF CHOICE

Alberta posted four consecutive budget surpluses under the UCP government between 2021-22 and 2024-25. These are not contested figures — they are the government’s own reported year-end results. Over the same four years, benefits to disabled Albertans were cut, de-indexed, and clawed back.

Fiscal Year	Budget Surplus	Heritage Fund Deposit	AISH / Disability Impact
2022–23	\$11.5 billion	\$753 million	AISH de-indexation still in effect (frozen since 2019); partial re-indexation begins Jan 2023
2023–24	\$4.3 billion	\$2 billion	CDB clawback planned; no change to AISH rate other than 2% indexed increase
2024–25	\$8.3 billion	\$2.8 billion	AISH cut \$49M in Budget 2025. CDB clawback implemented July 2025. Community housing rent raised 63% by ministerial order October 2025.
Four-Year Total	~\$26+ billion	\$5.6 billion deposited	AISH cut, de-indexed, clawed back, and restructured to a lower base rate

Sources: CBC News — Alberta year-end fiscal reports 2022-23 through 2024-25; Alberta.ca — Heritage Fund reports; Government of Alberta Budget 2025

FOUR SURPLUSES. FOUR YEARS. FIVE POINT SIX BILLION DOLLARS DEPOSITED INTO A SAVINGS FUND. In the same period: AISH benefits were cut, de-indexed for years, clawed back at the federal level, and restructured to a lower base rate effective 2028. The government did not cut disability benefits because the money was not there. The money was there. It went somewhere else.

1.5.1 The Community Response: A Documented Measure of Distress

The scale of community distress produced by these decisions is measurable beyond government data. Alberta’s AISH recipient community groups — informal, self-organizing, Facebook-based communities where recipients share information, coordinate advocacy, and support each other — have documented extraordinary growth over the past year.

Community Metric	Figure
Growth of a documented Alberta AISH community group in one year	Tripled in size — from approximately 2,000 to 6,000+ members
Documented reason for growth (per group administrator)	‘The treatment they’re getting from AISH, and the clawbacks and cutbacks’
What group growth indicates	People who previously had nowhere to turn are now actively seeking community and information — a proxy measure of distress, not satisfaction
Context	Community groups do not triple in size when recipients feel supported and informed. They triple when recipients feel abandoned and afraid.

Source: Documented statement from community group administrator, Alberta AISH advocacy group, April 2026

A disability advocacy group that tripled in size in one year is not evidence of a thriving community. It is evidence of a crisis. 6,000 people are not joining an online support group because their needs are being met. They are joining because they have nowhere else to go.

SECTION 2: WHAT PETER LOUGHEED BUILT — AND WHAT IT WAS FOR

The Alberta Heritage Savings Trust Fund was created in 1976 under Premier Peter Lougheed. It was established with three explicit objectives, written directly into the founding legislation:

Objective	Text from Founding Legislation
1. Save for the future	‘To save for the future’
2. Strengthen the economy	‘To strengthen or diversify the economy’
3. Quality of life	‘To improve the quality of life of Albertans’

Source: Alberta Heritage Savings Trust Fund Act — founding objectives, 1976

The third objective — to improve the quality of life of Albertans — was not a footnote. It was central to Lougheed’s stated intent. The Fund’s Capital Projects Division was specifically mandated to invest up to 20 percent of fund assets in projects with long-term economic or social benefits to Albertans.

LOUGHEED’S FUND vs. SMITH’S FUND: Lougheed: Objective 3 — ‘to improve the quality of life of Albertans.’ Smith: Deposited \$2.8 billion into the Fund in the same period as cutting AISH, clawing back the CDB, and raising community housing rent by 63%. The Fund still exists. The objective still exists in the legislation. The question is whether the government governing it still does.

SECTION 3: WHAT ALASKA DOES DIFFERENTLY — AND WHAT IT COSTS ALBERTA NOT TO

Alaska’s Permanent Fund was created in the same year as Alberta’s Heritage Fund — 1976. Both were founded on the same premise: that non-renewable resource revenue should be saved for future generations. The outcomes could not be more different.

Comparison	Alberta Heritage Fund	Alaska Permanent Fund	Norway Pension Fund
Founded	1976	1976	1990
Current value	\$31.9 billion (CAD)	~US\$87B (C\$119B)	~US\$1.7 trillion
Constitutional protection	No	Yes	Yes
Annual resident dividend	\$0	US\$1,702/person (2024)	N/A — future generations
Current disability policy	Cutting AISH, clawing back CDB	Pays every resident ~C\$2,400/year	N/A

Sources: Alaska Permanent Fund Corporation — 2024 annual report; Norway Government Pension Fund Global; Alberta Heritage Savings Trust Fund Act; Alberta.ca — Heritage Fund Q3 2025-26 Report

THE ALASKA COMPARISON: In 2024, each Alaskan resident received approximately C\$2,400 as an annual dividend from their Permanent Fund. In the same period, the Government of Alberta took \$200/month away from 79,000 disabled Albertans via the CDB clawback, cut AISH funding by \$49 million, and raised community housing rent by 63%. Alaska gives its citizens money from its resource fund. Alberta takes money from its most vulnerable citizens — while growing its resource fund.

SECTION 4: THE TAXPAYER COST OF CUTTING DISABILITY INCOME

The government frames cuts to AISH and the ADAP transition as cost savings. The downstream fiscal reality is the opposite: cutting disability income generates predictable, documented, and expensive downstream costs that are borne by the same government, the same healthcare system, and the same taxpayers.

4.1 The Cost of Homelessness vs. The Cost of Housing

Status	Annual Cost Per Person
Person experiencing homelessness — shelter and services	\$55,000/year
Person in permanent supportive housing	\$21,000/year
Net taxpayer saving per person housed	\$34,000/year
AISH annual benefit (single person)	\$23,280/year
ADAP annual benefit (after transition benefit expires, Jan 2028)	\$20,880/year

Source: End Homelessness Edmonton — Calgary Housing First program evaluation; CBC News, August 30, 2023

Scenario	Annual Taxpayer Cost
AISH recipient remains housed	\$23,280 (benefit paid)
AISH recipient loses housing — emergency shelter and services	\$55,000 (shelter system)
Additional taxpayer cost if housed recipient becomes homeless	\$31,720 MORE per person
If 1,000 recipients lose housing (1.3% of caseload)	\$31.7 million in additional costs
If 5,000 recipients lose housing (6.3% of caseload)	\$158.5 million in additional costs
AISH budget cut being made	\$49 million — less than what housing 1,540 people would cost

Sources: End Homelessness Edmonton; Urbanation/Rentals.ca — National Rent Report

THE FISCAL PARADOX: The government is cutting \$49 million from AISH while creating conditions — reduced income, no rent cap, no appeal rights, inaccessible caseworkers — that will predictably push some recipients into homelessness, at a downstream cost that exceeds the savings. This is not fiscal efficiency. It is cost transfer: from the disability income budget to the emergency shelter, healthcare, and social services budgets.

4.2 The Cost of Untreated Mental Health Crises

Comparison	Cost
ED psychiatric crisis visit (Alberta estimate)	\$1,000–\$3,000+ per visit
Psychiatric hospitalization (when required)	Thousands of dollars per day
Annual private therapy (52 sessions,	\$5,000–\$8,000/year

Comparison	Cost
uncovered)	
Net cost of NOT covering therapy — if 1 hospitalization results	\$5,000–\$10,000+ additional cost per person
Alberta mental health budget (% of total health spending)	5.5%
Mental Health Commission of Canada recommended minimum	12%
Alberta ED psychiatric visits	Up 47% — documented before ADAP transition

Sources: Alberta Doctors' Digest, Nov/Dec 2025; Health Benefits Erosion Report, Document 2 of this series

4.3 The Cost of Destabilized Children — Intergenerational Taxpayer Burden

When a disabled single parent's income is reduced, housing stability threatened, and support services made inaccessible, the documented downstream effects on children include:

- Increased demand for child welfare intervention — among the most expensive government services at \$80,000 to \$250,000+ per child per year in government care.
- Delayed educational milestones and increased Special Education costs.
- Increased likelihood that the child will require AISH, PDD, or equivalent adult disability programs — compounding future costs.
- Increased psychiatric and developmental intervention costs.

These are not speculative. They are the documented outcomes of poverty and family instability in children with complex disabilities. The government is not saving money by cutting AISH. It is deferring costs to the children's system, the education system, the healthcare system, and the next government.

4.4 The Administration Cost of the Transition Itself

Cost Item	Amount
ADAP restructuring admin overhead (Budget 2025)	\$22 million
AISH budget cut being made	\$49 million
Net saving after admin overhead	\$27 million — before any downstream costs
Heritage Fund growth in Q3 2025-26 alone	\$383 million

Cost Item	Amount
Net saving as % of one quarter's Heritage Fund growth	7%

Sources: FACTSMTR Budget 2026 analysis; Alberta.ca — Heritage Fund Q3 2025-26 Report

THE ADMINISTRATION MATH: The government is spending \$22 million to administer cutting \$49 million from AISH. The net saving before any downstream costs: \$27 million. The Heritage Fund grew \$383 million in the same quarter. The net saving from this entire restructuring equals 7% of one quarter of Heritage Fund growth. This is not a fiscal solution. It is a political statement made at the expense of disabled Albertans.

SECTION 5: THE POLITICAL CHOICE TIMELINE

The following documents the sequence of fiscal decisions made by the Smith government between 2022 and 2026. These decisions are not presented as individually wrong — they are presented together, so the pattern is visible.

Year	Decision	Amount / Impact
2022-23	Province enjoys \$11.5 billion budget surplus	Record surplus — resource revenue at \$25.2 billion
2022-23	Heritage Fund contribution from surplus	\$753 million deposited
2023	Heritage Fund Act amended to retain income in Fund	All investment returns stay in fund — accelerated growth
2023	8% personal income tax bracket introduced early	\$1.2 billion/year in forgone revenue — permanently lower baseline
2023-24	Province records \$4.3 billion surplus	Second consecutive surplus — \$2 billion to Heritage Fund
July 2025	CDB clawback implemented	\$200/month taken from 79,000 recipients — ~\$190M/year to general revenue
July 2025	\$2.8 billion deposited into Heritage Fund from 2024-25 surplus of \$8.3 billion	Fund hits record \$30 billion — fourth consecutive surplus
October 2025	Community housing rent increased 63% by ministerial order	\$221/month increase for AISH recipients in subsidized housing

Year	Decision	Amount / Impact
2025-26	AISH budget cut by \$49 million	Further cuts of \$22M and \$6M projected over following years
2025-26	Homelessness funding cut by \$4 million	\$220M to \$216M by 2027-28
2025-26	Heritage Fund grows to \$31.9 billion	\$383M growth in Q3 alone; 7.7% fiscal year-to-date return
December 2025	Bill 12 passed — appeal rights removed	79,000 AISH recipients lose independent appeal rights
Budget 2026	No Heritage Fund deposit planned	Province projecting \$9.4 billion deficit
July 1, 2026	AISH-to-ADAP transition — mandatory	79,000 recipients automatically transferred to lower base benefit
December 31, 2027	ADAP transition benefit expires	\$200/month additional cut — stacked losses

Sources: CBC News year-end fiscal reports; Alberta.ca Budget documents; Government of Alberta official announcements

THE PATTERN: When there was surplus revenue, the government chose to cut income taxes (reducing future revenue by \$1.2B/year) and grow the Heritage Fund. When that tax cut reduced revenues and the province projected deficits, the government chose to cut disability income, homelessness funding, and advocacy organization contracts. The people who benefited from the income tax cut are not the same people losing their AISH benefits. The people whose lives are being made impossible are not the people who created the deficit.

SECTION 6: WHAT IT WOULD ACTUALLY COST TO REVERSE THESE DECISIONS

Policy Reversal	Annual Cost	Context
Stop the CDB clawback — let recipients keep the federal benefit	\$190 million/year	Currently being redirected to general revenue
Reverse the AISH budget cut	\$49 million/year	Currently being extracted from the program
Reverse the community housing rent increase	~\$21 million/year	Protecting recipients already in subsidized housing

Policy Reversal	Annual Cost	Context
TOTAL — full reversal of major financial cuts	~\$260 million/year	All figures approximate based on available data
Heritage Fund investment return (2024-25, 9.6% on \$27.2B)	~\$2.6 billion	Official government figure
Cost of full reversal as % of annual Heritage Fund return	~10%	Reversing every major cut = one-tenth of annual investment returns
Heritage Fund Q3 2025-26 growth (one quarter)	\$383 million	Official government figure
Cost of full reversal vs. one quarter of Fund growth	Less than what the Fund earned in Q3	The math does not support 'we cannot afford this'

Sources: Government of Alberta official figures; calculated from Heritage Fund reports

THE BOTTOM LINE: Reversing every major financial cut imposed on AISH recipients would cost approximately \$260 million per year. The Heritage Fund generated approximately \$2.6 billion in investment returns in fiscal year 2024-25. Protecting Alberta's most vulnerable residents would cost roughly 10% of what the Heritage Fund earned in one year. This is not a question of affordability. It is a question of priority.

SECTION 7: WHAT WE ARE ASKING

To the Government of Alberta

- Immediately cease the dollar-for-dollar clawback of the Canada Disability Benefit. The Heritage Fund earned more in Q3 2025-26 than the total annual CDB clawback. This is not a difficult fiscal decision. It is a political one.
- Commission an independent downstream cost analysis of the ADAP transition before July 1, 2026 — specifically examining emergency shelter costs, healthcare utilization, and child welfare costs that will result from reduced disability income in a province with no rent cap.
- Establish a legislated minimum allocation from Heritage Fund investment returns for disability income adequacy — consistent with Peter Lougheed's founding objective of improving the quality of life of Albertans.
- Publish a government-commissioned actuarial analysis comparing the long-term fiscal cost of adequate disability income support vs. the downstream costs of inadequate support.

- Restore constitutional or legislative protection to the Heritage Fund with mandatory deposits, consistent with Lougheed's original intent and the Alaska and Norway models.

To the Government of Canada

- Legislate that the Canada Disability Benefit cannot be used as a provincial income offset. Alberta's clawback is a direct nullification of federal poverty-reduction spending.
- Conduct and publish an analysis of whether Alberta's Heritage Fund growth trajectory and the simultaneous reduction in disability income constitutes a misuse of federal transfer payments.

To the Alberta Auditor General

- Conduct a value-for-money audit of the ADAP transition, specifically examining whether the projected savings account for documented downstream costs in the shelter, healthcare, and child welfare systems.
- Review whether the CDB clawback — which diverts federal funds intended for disabled Albertans into general provincial revenue — is consistent with the terms of the federal-provincial disability funding relationship.

SOURCES AND REFERENCES

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